

0–3 years = short-term

3–5 years = medium-term

6+ years = long-term

You will now recognize that the asset allocation for a portfolio used to accumulate and save money for a major purchase (short-term) will look different from a retirement portfolio (long-term). Even those who are on the brink of retiring need to consider how long this portfolio needs to produce an income (count on 20–30 years), so don't set your date of retirement as the date you cash everything out; you may be cheating yourself out of some much-needed returns to keep pace with inflation over the duration of your retirement.

2. Do you need an income?

For somebody retiring as above, you may have a long investment time frame, but also the need to draw an income from the portfolio. The more income you need (as a percentage of the entire portfolio), the more conservative a portfolio you should have.

The next question to ask under this category is “How long will you draw down on the investment?” If you expect to deplete the fund in four years (as with a child's postsecondary education portfolio), then your asset allocation should be more conservative

than somebody looking for 30 years of income.

3. What is your marginal tax rate?

Depending on how much income you earn, you may be looking to shelter some of the growth from taxation, or even convert highly taxable income (like interest income) to tax-efficient forms of income (like capital gains). Your marginal tax rate may determine how to invest money you don't have a specific direction for, and may influence the specific choice of investments within your portfolio.

Also, if you expect your income to change in the next few years, your asset allocation could be affected. Sheltering gains during years of high income and producing taxable investment income during lower-income years are all specialized asset allocation strategies.

4. How strong is your stomach?

This is probably one of the factors that will most influence your asset allocation choices, since you are the one who has to live with your investments. You may be young, saving for retirement, and showing all the technical signs of being a long-term aggressive investor, but if you can't handle the heat when